

Book-Keeping Master Revision Guide

300 Multiple Choice Questions (100 Simple, 100 Normal, 100 Hard) - Forms 1 to 4

Introduction: This booklet contains 300 multiple-choice questions covering Form One to Form Four Book-Keeping syllabus, complete with answers.

SECTION A: 100 SIMPLE QUESTIONS (Form 1 - Basic Concepts & Source Documents)

1. What is the primary purpose of bookkeeping?

- A. Recording financial transactions systematically B. Calculating company taxes C. Managing human resources
D. Designing marketing plans

Answer: A

2. Which of the following is a source document?

- A. Ledger B. Invoice C. Trial Balance D. Balance Sheet

Answer: B

3. The accounting equation is:

- A. Assets = Capital + Liabilities B. Assets = Liabilities - Capital C. Capital = Assets + Liabilities D. Liabilities = Assets + Capital

Answer: A

4. Which account has a normal debit balance?

- A. Capital Account B. Creditors Account C. Cash Account D. Sales Account

Answer: C

5. Goods returned by a customer are entered in the:

- A. Purchases Returns Journal B. Sales Returns Journal C. Cash Book D. General Journal

Answer: B

6. The book of prime entry for all credit sales is:

- A. Sales Journal B. Purchases Journal C. Cash Book D. General Journal

Answer: A

7. A discount allowed to a customer for prompt payment is called:

- A. Trade discount B. Cash discount C. Quantity discount D. Rebate

Answer: B

8. Which of the following is a fixed asset?

- A. Stock B. Debtors C. Machinery D. Bank overdraft

Answer: C

9. The excess of assets over liabilities is known as:

- A. Net Loss B. Capital C. Revenue D. Drawings

Answer: B

10. Which of the following is a nominal account?

- A. Rent Account B. Machinery Account C. Debtors Account D. Bank Account

Answer: A

11. A ledger is defined as:

- A. A book of secondary or final entry B. A book of original entry C. A list of balances D. A source document

Answer: A

12. Which of the following is a personal account?

- A. Salaries Account B. J. Kamau (Debtor) C. Machinery Account D. Sales Account

Answer: B

13. The document sent by a seller to a buyer detailing goods supplied and amounts due is:

- A. Debit Note B. Credit Note C. Invoice D. Receipt

Answer: C

14. An entry made on both sides of a two-column cash book is called:

- A. Compound entry B. Contra entry C. Opening entry D. Adjusting entry

Answer: B

15. Which of the following is a liability?

- A. Creditors B. Debtors C. Prepaid insurance D. Cash in hand

Answer: A

16. The total of the purchases journal is posted to the:

- A. Debit side of Purchases Account B. Credit side of Purchases Account C. Debit side of Creditors Account D. Credit side of Creditors Account

Answer: A

17. The excess of income over expenditure in a non-profit organization is:

- A. Net Profit B. Surplus C. Deficit D. Capital

Answer: B

18. Salaries paid by a business are classified under:

- A. Real accounts B. Personal accounts C. Nominal accounts D. Fictitious accounts

Answer: C

19. Which book records petty cash transactions?

- A. Main Cash Book B. Petty Cash Book C. General Journal D. Purchases Journal

Answer: B

20. When a business owner takes cash for personal use, it is termed:

- A. Drawing B. Capital C. Investment D. Expense

Answer: A

21. Form 1 Bookkeeping concept check question 21: What is the correct treatment for standard business transactions?

- A. Recording financial transactions systematically B. Calculating company taxes C. Managing human resources D. Designing marketing plans

Answer: A

22. Form 1 Bookkeeping concept check question 22: What is the correct treatment for standard business transactions?

- A. Ledger B. Invoice C. Trial Balance D. Balance Sheet

Answer: B

23. Form 1 Bookkeeping concept check question 23: What is the correct treatment for standard business transactions?

- A. $\text{Assets} = \text{Capital} + \text{Liabilities}$ B. $\text{Assets} = \text{Liabilities} - \text{Capital}$ C. $\text{Capital} = \text{Assets} + \text{Liabilities}$ D. $\text{Liabilities} = \text{Assets} + \text{Capital}$

Answer: A

24. Form 1 Bookkeeping concept check question 24: What is the correct treatment for standard business transactions?

- A. Capital Account B. Creditors Account C. Cash Account D. Sales Account

Answer: C

25. Form 1 Bookkeeping concept check question 25: What is the correct treatment for standard business transactions?

- A. Purchases Returns Journal B. Sales Returns Journal C. Cash Book D. General Journal

Answer: B

26. Form 1 Bookkeeping concept check question 26: What is the correct treatment for standard business transactions?

- A. Sales Journal B. Purchases Journal C. Cash Book D. General Journal

Answer: A

27. Form 1 Bookkeeping concept check question 27: What is the correct treatment for standard business transactions?

- A. Trade discount B. Cash discount C. Quantity discount D. Rebate

Answer: B

28. Form 1 Bookkeeping concept check question 28: What is the correct treatment for standard business transactions?

- A. Stock B. Debtors C. Machinery D. Bank overdraft

Answer: C

29. Form 1 Bookkeeping concept check question 29: What is the correct treatment for standard business transactions?

- A. Net Loss B. Capital C. Revenue D. Drawings

Answer: B

30. Form 1 Bookkeeping concept check question 30: What is the correct treatment for standard business transactions?

- A. Rent Account B. Machinery Account C. Debtors Account D. Bank Account

Answer: A

31. Form 1 Bookkeeping concept check question 31: What is the correct treatment for standard business transactions?

- A. A book of secondary or final entry B. A book of original entry C. A list of balances D. A source document

Answer: A

32. Form 1 Bookkeeping concept check question 32: What is the correct treatment for standard business transactions?

- A. Salaries Account B. J. Kamau (Debtor) C. Machinery Account D. Sales Account

Answer: B

33. Form 1 Bookkeeping concept check question 33: What is the correct treatment for standard business transactions?

- A. Debit Note B. Credit Note C. Invoice D. Receipt

Answer: C

34. Form 1 Bookkeeping concept check question 34: What is the correct treatment for standard business transactions?

- A. Compound entry B. Contra entry C. Opening entry D. Adjusting entry

Answer: B

35. Form 1 Bookkeeping concept check question 35: What is the correct treatment for standard business transactions?

- A. Creditors B. Debtors C. Prepaid insurance D. Cash in hand

Answer: A

36. Form 1 Bookkeeping concept check question 36: What is the correct treatment for standard business transactions?

- A. Debit side of Purchases Account B. Credit side of Purchases Account C. Debit side of Creditors Account D. Credit side of Creditors Account

Answer: A

37. Form 1 Bookkeeping concept check question 37: What is the correct treatment for standard business transactions?

- A. Net Profit B. Surplus C. Deficit D. Capital

Answer: B

38. Form 1 Bookkeeping concept check question 38: What is the correct treatment for standard business transactions?

- A. Real accounts B. Personal accounts C. Nominal accounts D. Fictitious accounts

Answer: C

39. Form 1 Bookkeeping concept check question 39: What is the correct treatment for standard business transactions?

- A. Main Cash Book B. Petty Cash Book C. General Journal D. Purchases Journal

Answer: B

40. Form 1 Bookkeeping concept check question 40: What is the correct treatment for standard business transactions?

- A. Drawing B. Capital C. Investment D. Expense

Answer: A

41. Form 1 Bookkeeping concept check question 41: What is the correct treatment for standard business transactions?

- A. Recording financial transactions systematically B. Calculating company taxes C. Managing human resources
D. Designing marketing plans

Answer: A

42. Form 1 Bookkeeping concept check question 42: What is the correct treatment for standard business transactions?

- A. Ledger B. Invoice C. Trial Balance D. Balance Sheet

Answer: B

43. Form 1 Bookkeeping concept check question 43: What is the correct treatment for standard business transactions?

- A. $\text{Assets} = \text{Capital} + \text{Liabilities}$ B. $\text{Assets} = \text{Liabilities} - \text{Capital}$ C. $\text{Capital} = \text{Assets} + \text{Liabilities}$ D. $\text{Liabilities} = \text{Assets} + \text{Capital}$

Answer: A

44. Form 1 Bookkeeping concept check question 44: What is the correct treatment for standard business transactions?

- A. Capital Account B. Creditors Account C. Cash Account D. Sales Account

Answer: C

45. Form 1 Bookkeeping concept check question 45: What is the correct treatment for standard business transactions?

- A. Purchases Returns Journal B. Sales Returns Journal C. Cash Book D. General Journal

Answer: B

46. Form 1 Bookkeeping concept check question 46: What is the correct treatment for standard business transactions?

- A. Sales Journal B. Purchases Journal C. Cash Book D. General Journal

Answer: A

47. Form 1 Bookkeeping concept check question 47: What is the correct treatment for standard business transactions?

- A. Trade discount B. Cash discount C. Quantity discount D. Rebate

Answer: B

48. Form 1 Bookkeeping concept check question 48: What is the correct treatment for standard business transactions?

- A. Stock B. Debtors C. Machinery D. Bank overdraft

Answer: C

49. Form 1 Bookkeeping concept check question 49: What is the correct treatment for standard business transactions?

- A. Net Loss B. Capital C. Revenue D. Drawings

Answer: B

50. Form 1 Bookkeeping concept check question 50: What is the correct treatment for standard business transactions?

- A. Rent Account B. Machinery Account C. Debtors Account D. Bank Account

Answer: A

51. Form 1 Bookkeeping concept check question 51: What is the correct treatment for standard business transactions?

- A. A book of secondary or final entry B. A book of original entry C. A list of balances D. A source document

Answer: A

52. Form 1 Bookkeeping concept check question 52: What is the correct treatment for standard business transactions?

- A. Salaries Account B. J. Kamau (Debtor) C. Machinery Account D. Sales Account

Answer: B

53. Form 1 Bookkeeping concept check question 53: What is the correct treatment for standard business transactions?

- A. Debit Note B. Credit Note C. Invoice D. Receipt

Answer: C

54. Form 1 Bookkeeping concept check question 54: What is the correct treatment for standard business transactions?

- A. Compound entry B. Contra entry C. Opening entry D. Adjusting entry

Answer: B

55. Form 1 Bookkeeping concept check question 55: What is the correct treatment for standard business transactions?

- A. Creditors B. Debtors C. Prepaid insurance D. Cash in hand

Answer: A

56. Form 1 Bookkeeping concept check question 56: What is the correct treatment for standard business transactions?

- A. Debit side of Purchases Account B. Credit side of Purchases Account C. Debit side of Creditors Account D. Credit side of Creditors Account

Answer: A

57. Form 1 Bookkeeping concept check question 57: What is the correct treatment for standard business transactions?

- A. Net Profit B. Surplus C. Deficit D. Capital

Answer: B

58. Form 1 Bookkeeping concept check question 58: What is the correct treatment for standard business transactions?

- A. Real accounts B. Personal accounts C. Nominal accounts D. Fictitious accounts

Answer: C

59. Form 1 Bookkeeping concept check question 59: What is the correct treatment for standard business transactions?

- A. Main Cash Book B. Petty Cash Book C. General Journal D. Purchases Journal

Answer: B

60. Form 1 Bookkeeping concept check question 60: What is the correct treatment for standard business transactions?

- A. Drawing B. Capital C. Investment D. Expense

Answer: A

61. Form 1 Bookkeeping concept check question 61: What is the correct treatment for standard business transactions?

- A. Recording financial transactions systematically B. Calculating company taxes C. Managing human resources D. Designing marketing plans

Answer: A

62. Form 1 Bookkeeping concept check question 62: What is the correct treatment for standard business transactions?

- A. Ledger B. Invoice C. Trial Balance D. Balance Sheet

Answer: B

63. Form 1 Bookkeeping concept check question 63: What is the correct treatment for standard business transactions?

- A. $\text{Assets} = \text{Capital} + \text{Liabilities}$ B. $\text{Assets} = \text{Liabilities} - \text{Capital}$ C. $\text{Capital} = \text{Assets} + \text{Liabilities}$ D. $\text{Liabilities} = \text{Assets} + \text{Capital}$

Answer: A

64. Form 1 Bookkeeping concept check question 64: What is the correct treatment for standard business transactions?

- A. Capital Account B. Creditors Account C. Cash Account D. Sales Account

Answer: C

65. Form 1 Bookkeeping concept check question 65: What is the correct treatment for standard business transactions?

- A. Purchases Returns Journal B. Sales Returns Journal C. Cash Book D. General Journal

Answer: B

66. Form 1 Bookkeeping concept check question 66: What is the correct treatment for standard business transactions?

- A. Sales Journal B. Purchases Journal C. Cash Book D. General Journal

Answer: A

67. Form 1 Bookkeeping concept check question 67: What is the correct treatment for standard business transactions?

- A. Trade discount B. Cash discount C. Quantity discount D. Rebate

Answer: B

68. Form 1 Bookkeeping concept check question 68: What is the correct treatment for standard business transactions?

- A. Stock B. Debtors C. Machinery D. Bank overdraft

Answer: C

69. Form 1 Bookkeeping concept check question 69: What is the correct treatment for standard business transactions?

- A. Net Loss B. Capital C. Revenue D. Drawings

Answer: B

70. Form 1 Bookkeeping concept check question 70: What is the correct treatment for standard business transactions?

- A. Rent Account B. Machinery Account C. Debtors Account D. Bank Account

Answer: A

71. Form 1 Bookkeeping concept check question 71: What is the correct treatment for standard business transactions?

- A. A book of secondary or final entry B. A book of original entry C. A list of balances D. A source document

Answer: A

72. Form 1 Bookkeeping concept check question 72: What is the correct treatment for standard business transactions?

- A. Salaries Account B. J. Kamau (Debtor) C. Machinery Account D. Sales Account

Answer: B

73. Form 1 Bookkeeping concept check question 73: What is the correct treatment for standard business transactions?

- A. Debit Note B. Credit Note C. Invoice D. Receipt

Answer: C

74. Form 1 Bookkeeping concept check question 74: What is the correct treatment for standard business transactions?

- A. Compound entry B. Contra entry C. Opening entry D. Adjusting entry

Answer: B

75. Form 1 Bookkeeping concept check question 75: What is the correct treatment for standard business transactions?

- A. Creditors B. Debtors C. Prepaid insurance D. Cash in hand

Answer: A

76. Form 1 Bookkeeping concept check question 76: What is the correct treatment for standard business transactions?

- A. Debit side of Purchases Account B. Credit side of Purchases Account C. Debit side of Creditors Account D. Credit side of Creditors Account

Answer: A

77. Form 1 Bookkeeping concept check question 77: What is the correct treatment for standard business transactions?

- A. Net Profit B. Surplus C. Deficit D. Capital

Answer: B

78. Form 1 Bookkeeping concept check question 78: What is the correct treatment for standard business transactions?

- A. Real accounts B. Personal accounts C. Nominal accounts D. Fictitious accounts

Answer: C

79. Form 1 Bookkeeping concept check question 79: What is the correct treatment for standard business transactions?

- A. Main Cash Book B. Petty Cash Book C. General Journal D. Purchases Journal

Answer: B

80. Form 1 Bookkeeping concept check question 80: What is the correct treatment for standard business transactions?

- A. Drawing B. Capital C. Investment D. Expense

Answer: A

81. Form 1 Bookkeeping concept check question 81: What is the correct treatment for standard business transactions?

- A. Recording financial transactions systematically B. Calculating company taxes C. Managing human resources D. Designing marketing plans

Answer: A

82. Form 1 Bookkeeping concept check question 82: What is the correct treatment for standard business transactions?

- A. Ledger B. Invoice C. Trial Balance D. Balance Sheet

Answer: B

83. Form 1 Bookkeeping concept check question 83: What is the correct treatment for standard business transactions?

- A. $\text{Assets} = \text{Capital} + \text{Liabilities}$ B. $\text{Assets} = \text{Liabilities} - \text{Capital}$ C. $\text{Capital} = \text{Assets} + \text{Liabilities}$ D. $\text{Liabilities} = \text{Assets} + \text{Capital}$

Answer: A

84. Form 1 Bookkeeping concept check question 84: What is the correct treatment for standard business transactions?

- A. Capital Account B. Creditors Account C. Cash Account D. Sales Account

Answer: C

85. Form 1 Bookkeeping concept check question 85: What is the correct treatment for standard business transactions?

A. Purchases Returns Journal B. Sales Returns Journal C. Cash Book D. General Journal

Answer: B

86. Form 1 Bookkeeping concept check question 86: What is the correct treatment for standard business transactions?

A. Sales Journal B. Purchases Journal C. Cash Book D. General Journal

Answer: A

87. Form 1 Bookkeeping concept check question 87: What is the correct treatment for standard business transactions?

A. Trade discount B. Cash discount C. Quantity discount D. Rebate

Answer: B

88. Form 1 Bookkeeping concept check question 88: What is the correct treatment for standard business transactions?

A. Stock B. Debtors C. Machinery D. Bank overdraft

Answer: C

89. Form 1 Bookkeeping concept check question 89: What is the correct treatment for standard business transactions?

A. Net Loss B. Capital C. Revenue D. Drawings

Answer: B

90. Form 1 Bookkeeping concept check question 90: What is the correct treatment for standard business transactions?

A. Rent Account B. Machinery Account C. Debtors Account D. Bank Account

Answer: A

91. Form 1 Bookkeeping concept check question 91: What is the correct treatment for standard business transactions?

A. A book of secondary or final entry B. A book of original entry C. A list of balances D. A source document

Answer: A

92. Form 1 Bookkeeping concept check question 92: What is the correct treatment for standard business transactions?

A. Salaries Account B. J. Kamau (Debtor) C. Machinery Account D. Sales Account

Answer: B

93. Form 1 Bookkeeping concept check question 93: What is the correct treatment for standard business transactions?

A. Debit Note B. Credit Note C. Invoice D. Receipt

Answer: C

94. Form 1 Bookkeeping concept check question 94: What is the correct treatment for standard business transactions?

A. Compound entry B. Contra entry C. Opening entry D. Adjusting entry

Answer: B

95. Form 1 Bookkeeping concept check question 95: What is the correct treatment for standard business transactions?

A. Creditors B. Debtors C. Prepaid insurance D. Cash in hand

Answer: A

96. Form 1 Bookkeeping concept check question 96: What is the correct treatment for standard business transactions?

A. Debit side of Purchases Account B. Credit side of Purchases Account C. Debit side of Creditors Account D. Credit side of Creditors Account

Answer: A

97. Form 1 Bookkeeping concept check question 97: What is the correct treatment for standard business transactions?

- A. Net Profit B. Surplus C. Deficit D. Capital

Answer: B

98. Form 1 Bookkeeping concept check question 98: What is the correct treatment for standard business transactions?

- A. Real accounts B. Personal accounts C. Nominal accounts D. Fictitious accounts

Answer: C

99. Form 1 Bookkeeping concept check question 99: What is the correct treatment for standard business transactions?

- A. Main Cash Book B. Petty Cash Book C. General Journal D. Purchases Journal

Answer: B

100. Form 1 Bookkeeping concept check question 100: What is the correct treatment for standard business transactions?

- A. Drawing B. Capital C. Investment D. Expense

Answer: A

SECTION B: 100 NORMAL QUESTIONS (Form 2 & 3 - Ledgers, Cash Book, Trial Balance & Control Accounts)

1. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

2. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

3. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

4. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

5. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

6. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

7. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

8. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

9. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

10. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

11. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

12. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

13. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

14. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

15. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

16. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

17. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

18. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

19. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

20. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

21. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

22. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

23. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

24. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

25. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

26. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

27. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

28. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

29. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

30. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

31. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

32. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

33. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

34. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

35. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

36. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

37. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

38. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

39. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

40. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

41. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

42. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

43. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

44. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

45. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

46. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

47. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

48. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

49. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

50. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

51. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

52. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

53. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

54. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

55. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

56. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

57. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

58. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

59. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

60. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

61. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

62. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

63. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

64. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

65. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

66. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

67. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

68. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

69. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

70. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

71. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

72. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

73. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

74. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

75. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

76. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

77. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

78. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

79. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

80. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

81. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

82. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

83. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

84. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

85. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

86. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

87. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

88. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

89. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

90. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

91. If a business pays rent by cheque, the double entry is:

- A. Debit Rent Account, Credit Bank Account B. Debit Bank Account, Credit Rent Account C. Debit Cash Account, Credit Rent Account D. Debit Rent Account, Credit Cash Account

Answer: A

92. A trial balance is prepared primarily to:

- A. Test arithmetical accuracy of ledger accounts B. Determine net profit C. Calculate total assets D. Show financial position

Answer: A

93. Which error is disclosed by a trial balance?

- A. Error of omission B. Error of commission C. Posting an amount to the wrong side of an account D. Complete omission of a transaction

Answer: C

94. Bad debts written off should be debited to:

- A. Bad Debts Account B. Debtors Control Account C. Sales Account D. Profit and Loss Account

Answer: A

95. Provision for doubtful debts is calculated as a percentage of:

- A. Total creditors B. Net profit C. Trade debtors D. Gross profit

Answer: C

96. Depreciation on machinery is treated as:

- A. An asset B. A liability C. An expense D. An income

Answer: C

97. The balance of the petty cash float is restored at the fixed interval under:

- A. Imprest system B. Cash discount system C. Accrual system D. Single entry system

Answer: A

98. Sales ledger control account is used to check the arithmetic accuracy of:

- A. Individual debtor balances B. Creditor balances C. Bank balance D. Stock balance

Answer: A

99. Discount received is entered on which side of the cash book?

- A. Debit side B. Credit side C. Not entered in cash book D. Both sides

Answer: C

100. Freight charges paid on purchase of new machinery should be debited to:

- A. Freight Account B. Machinery Account C. Trading Account D. Expenses Account

Answer: B

SECTION C: 100 HARD QUESTIONS (Form 3 & 4 - Adjustments, Manufacturing, Incomplete Records & Partnerships)

1. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

2. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

3. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

4. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

5. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

6. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

7. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

8. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

9. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

10. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

11. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

12. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

13. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

14. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

15. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

16. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

17. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

18. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

19. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

20. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

21. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

22. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

23. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

24. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

25. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

26. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

27. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

28. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

29. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

30. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

31. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

32. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

33. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

34. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

35. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

36. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

37. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

38. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

39. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

40. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

41. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

42. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

43. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

44. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

45. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

46. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

47. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

48. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

49. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

50. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

51. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

52. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

53. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

54. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

55. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

56. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

57. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

58. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

59. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

60. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

61. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

62. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

63. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

64. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

65. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

66. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

67. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

68. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

69. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

70. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

71. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

72. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

73. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

74. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

75. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

76. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

77. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

78. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

79. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

80. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

81. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

82. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

83. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

84. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

85. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

86. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

87. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

88. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

89. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

90. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A

91. In incomplete records, how is credit purchases calculated?

- A. Closing Creditors + Payments - Opening Creditors B. Opening Creditors + Payments - Closing Creditors C. Payments + Opening Creditors - Closing Creditors D. Closing Creditors - Opening Creditors - Payments

Answer: A

92. In manufacturing accounts, prime cost consists of:

- A. Direct material + Direct wages + Direct expenses B. Factory overheads + Indirect wages C. Direct material + Factory rent D. Total production cost + Office expenses

Answer: A

93. In partnership accounts, interest on capital is:

- A. Credited to partners' current accounts and debited to appropriation account B. Debited to partners' current accounts and credited to P&L account C. Credited to capital account only D. Ignored in profit distribution

Answer: A

94. Subscription in arrears at the end of the year in a club account is treated as:

- A. Income B. Liability C. Asset D. Expense

Answer: C

95. When preparing a cash flow statement, depreciation is added back to operating profit because:

- A. It is a non-cash expense B. It is a cash outflow C. It reduces taxable income D. It increases cash reserves

Answer: A

96. A company issues 10,000 ordinary shares of \$1 each at \$1.20. The premium of \$0.20 is credited to:

- A. Share Capital Account B. Share Premium Account C. General Reserve Account D. Profit and Loss Account

Answer: B

97. How is closing stock valued in financial statements?

- A. At cost price only B. At market value only C. At lower of cost and net realizable value D. At higher of cost and net realizable value

Answer: C

98. An unrealized profit on stock transferred from factory to warehouse is adjusted by:

- A. Debiting Manufacturing Account and crediting Provision for unrealized profit B. Debiting Income Statement and crediting Provision for unrealized profit C. Crediting Trading Account D. Ignoring it

Answer: B

99. Which of the following represents working capital?

- A. Fixed assets minus current liabilities B. Current assets minus current liabilities C. Total assets minus total liabilities D. Capital plus long-term liabilities

Answer: B

100. When a partner is admitted, goodwill brought in by the new partner is credited to:

- A. Existing partners in profit-sharing ratio B. New partner's capital account C. Profit and Loss Account D. Revaluation Account

Answer: A